2026 EDITION

THE END OF TRUCKING IN AMERICA

Why America's Small Carriers Are Dying — and the Circular System That Can Save Them



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A Note Before You Read

This is a warning. It is not written to frighten you for sport, and it is not written to sell you comfort. It is written because the evidence is now overwhelming, and because I have spent more than two decades inside this industry watching good people — hardworking, honest, capable people — put everything they own into a truck and lose it within a year. Not because they were lazy. Not because the freight disappeared. Because the system they entered was built, quietly and deliberately, for someone else to win.

Everything you are about to read is documented. The numbers come from the American Transportation Research Institute, the Federal Motor Carrier Safety Administration, the American Trucking Associations, and the insurers, courts, and researchers who track this industry for a living. I have set my own experience beside their data, and the two agree. Where a figure is uncertain, I have said so. I would rather under-claim and be right than over-claim and be dismissed, because this argument is too important to lose on a technicality.

But this is also a book of hope, and I need you to hold both truths at once. The small American trucking company is dying. And it does not have to. There is a way out — a different way of operating, a different way of thinking, that keeps the truck and the company alive. I have spent years building it and teaching it. It is called circular logistics, and by the last page you will understand it well enough to start using it tomorrow.

Read this as an operator, an official, a researcher, or simply an American who eats food that arrived on a truck. Then decide whether you are willing to be full circle.

— Michael Thomas, Founder, Freight University

Prologue

A Wire Transfer and a Death Sentence

In the United States today, a person who wants to legally cut hair must complete somewhere between one thousand and twenty-one hundred supervised hours of training and pass a two-part state board examination. A person who wants to sell a house must sit through a hundred and thirty-five classroom hours in California, or a hundred and eighty in Texas, and pass a licensing exam. A person who wants to certify financial statements as a public accountant must earn a hundred and fifty semester hours of college credit and pass one of the hardest professional exams in the country.

A person who wants to operate a fleet of eighty-thousand-pound trucks on public highways, hauling other people's freight for hire across state lines, must complete a wire transfer.

That is not an exaggeration. Interstate operating authority — a Motor Carrier number, the legal right to run a for-hire trucking company — costs three hundred dollars per authority type. The USDOT number that pairs with it is free. Add a process agent filing and proof of insurance, and you are done. There is no proficiency exam. No test of whether you can calculate your cost per mile. No screen for financial literacy, insurance knowledge, or fraud awareness. No demonstration that you understand the business you are about to bet your house on. The entire competency gate is money and paperwork.

And then between eighty-five and ninety percent of the people who pass through that gate are gone within their first

two years.

We do not treat that number as the emergency it is. We treat it as weather — as if the failure of the American owner-operator were a natural fact, like rain. It is not natural. It is manufactured. It is the predictable, designed output of a system that licenses ignorance at the front door and then bills that ignorance for the consequences at every door after. This book is the story of how that system works, who it feeds, who it kills, and how we change it before the small trucking company disappears from America for good.

THE CIRCULAR TRUTH

- The straight line — a wire transfer in, a closure out — is not an accident. It is a system working exactly as designed.
- Every chapter that follows is one more turn of that loop. The last chapters are how we bend the line into a circle that keeps you alive.

CHAPTER

1 The Backbone Nobody Sees

Who actually moves America

Start with a fact that should end every argument about whether this matters: trucks move 72.7 percent of America's domestic freight by tonnage — 11.27 billion tons in 2024 — and 76.9 percent of its freight revenue, some 906 billion dollars, according to the American Trucking Associations. Seven of every ten agricultural products in this country reach you on a truck. When people say the supply chain, a great deal of what they mean is a driver, a trailer, and a diesel engine.

Now look at who owns those trucks. According to FMCSA and ATA data, 91.5 percent of all registered carriers operate ten or fewer power units. Ninety-six percent run fewer than twenty trucks. Ninety-nine point three percent run fewer than a hundred. Nearly half of all carriers are a single person and a single truck. The image of trucking as a business of giant fleets is exactly backwards. Trucking is a nation of small businesses — hundreds of thousands of them — that happen to carry the whole economy on their backs.

The giants exist, and they matter, but they are a sliver of the entities and a mountain of the influence. Carriers with a hundred trucks or more are less than one percent of the industry by count. The top ten truckload carriers together control less than six percent of the market. The other ninety-four percent is the

small carrier: the owner-operator, the family fleet, the two-truck partnership. That fragmentation is not a weakness. It is the source of the industry's resilience — thousands of independent operators competing, covering every lane and every rural road, keeping rates honest and capacity flexible.

That is the backbone. And it is breaking. To understand why, you have to understand that this backbone was recently flooded with new entrants who were told a story — that trucking was easy money — and then handed a system that guaranteed most of them would fail.

THE CIRCULAR TRUTH

- The strength of American freight is its many small carriers, each an independent loop of capacity. Kill the small carrier and you don't just lose trucks — you lose the redundancy that keeps the whole system standing.

CHAPTER

2
The Boom That Was a Trap

How the pandemic gold rush set the fire

For a brief, intoxicating stretch, trucking looked like the easiest money in America. When the pandemic scrambled supply chains in 2020 and 2021, spot freight rates spiked and stories spread of drivers clearing sums they had never seen. People noticed. They quit jobs, cashed out savings, and bought trucks.

The numbers are staggering. The active for-hire carrier population grew from about 602,542 in 2019 to 813,844 by the end of 2022. New trucking entities registered with FMCSA exploded from 72,566 in 2018 to 281,376 in 2022. And here is the detail that turned a boom into a trap: 98 percent of those new applicants operated one to five trucks. This was not the industry consolidating. It was hundreds of thousands of undercapitalized newcomers rushing in at the exact top of the market.

They bought trucks at peak prices. Used Class 8 auction values rose roughly 160 percent between 2019 and 2022. Someone who financed a truck in that window took on a payment based on a price that would not last. They entered with little cash in reserve, no cost-per-mile math, and a rate environment that was about to collapse under the weight of all that new capacity.

A boom built on borrowed money and thin knowledge is not a boom. It is kindling. And in 2022 and 2023, the market lit the match.

THE CIRCULAR TRUTH

- Easy-money trucking is a straight line: high rate in, truck bought at the top, no reserve behind it. When the rate falls, the line has nowhere to bend — it just ends.

CHAPTER

3
The Great Culling

The recession that separated knowledge from luck

When freight rates fell, they did not drift down gently. They cratered, and they stayed low longer than almost anyone predicted, in one of the deepest and most prolonged freight recessions in decades. The capacity that had rushed in now had nothing profitable to haul.

The result was the largest destruction of small carriers in a generation. In 2023 alone, roughly 88,000 trucking companies and 8,000 freight brokerages ceased operations — described by industry analysts as the largest net loss of carriers in a quarter-century. In 2024 the total motor carrier count fell about ten percent, with roughly ten thousand closures in the first half of the year. Between January 2024 and early 2026, more than eight thousand carriers had their operating authority formally revoked, and tens of thousands more went dormant, parked, waiting.

Underneath the closures was a number that explains all of them. In 2024, the average truckload operating margin was negative 2.3 percent. Negative. Across every sector except less-than-truckload, margins sat below two percent. The pandemic's high rates had briefly masked a brutal reality that had been true all along: this is, structurally, a six-percent-margin business on its best days, and a losing one on its ordinary days.

When the mask came off, the operators who had entered on luck rather than knowledge had no cushion, no math, and no way to tell a load that made money from a load that quietly bankrupted them.

Because that is the cruel mechanism of a freight recession. New owner-operators were securing dry-van spot rates of $1.95 to $2.10 a mile against a true operating cost of about $2.26 a mile. Every one of those miles — run to "stay busy," to keep the truck moving, to feel like a business — actually consumed the carrier's own capital. They were paying to work. Mathematically, staying busy was how they went broke faster.

THE CIRCULAR TRUTH

- A load that pays below your cost per mile is not revenue. It is a slow-motion closure you volunteered for because no one taught you the number that would have saved you.

CHAPTER

4
Built to Extract

The linear economy that feeds on the small carrier

Here is the heart of the argument, and I want to state it plainly, because everything else in this book depends on it. The American trucking system is not failing because demand disappeared. It is failing because its operating doctrine rewards short-term extraction over long-term survival. The whole chain is a straight line, and at every point on that line, someone is pulling value out of the small carrier.

Picture the line: Customer to Broker to Carrier to Delivery to Payment. Now watch each participant extract. The large shipper uses an oversupplied spot market to secure freight below the actual cost of operation — transferring its own savings onto the balance sheet of the independent operator until that operator fails, and another desperate newcomer takes the load at the same losing rate. The broker, historically, hid the math: for years, carriers were made to sign away their federal transparency rights — their right under 49 CFR §371.3 to see what the broker was paid — through waiver clauses buried in dense onboarding packets. The carrier hauled blind, never knowing whether the broker took an honest ten or fifteen percent or an abusive forty.

The truck makers extract too, through a model the industry politely calls "razor and blades." They make thin margins selling you the truck and rich, durable margins keeping it running. At

PACCAR — the maker of Kenworth and Peterbilt — the truck segment earned a 13.9 percent gross margin in 2024 while the parts segment earned roughly thirty percent, more than twice as much. Parts and financial services now make up about 71 percent of PACCAR's total profit, up from around 43 percent a decade earlier. In the first quarter of 2026, PACCAR's parts division out-earned its entire truck division by more than two to one. The business is not built to sell you a truck. It is built to bill you for the rest of the truck's life.

And around all of it circles the legal and insurance machinery, which has turned the highway accident into an asset class — a subject for the next chapters. The point here is simple and it is the thesis of this book: the system is a linear extraction economy. Value flows out of the small carrier and into everyone standing around it. That is not a market failure. That is the market working exactly as it was designed to work — for someone else.

THE CIRCULAR TRUTH

- In a straight line, every hand you pass through takes something and passes you the loss. The small carrier is the last hand on the line, so the small carrier holds the loss.
- You cannot out-hustle a system designed to extract from you. You can only rebuild it into a loop that feeds you back. That rebuild is circular logistics.

CHAPTER

5
The Blade

Maintenance, downtime, and the $400,000 surprise

If the extraction economy is the disease, a repair catastrophe is usually the blade that finally severs the artery. Ask operators who closed what actually ended them, and again and again it is not a slow decline — it is a sudden, enormous, uncovered bill.

The numbers make the danger concrete. An in-frame engine rebuild runs twenty to thirty thousand dollars; an out-of-frame or replacement, forty to fifty. Aftertreatment failures — the emissions hardware — can cost twelve to twenty-three thousand and are almost never covered. Shop labor reached a median of $149 an hour in 2025, with some diesel shops charging well over two hundred and a several-hundred-dollar diagnostic minimum before anyone touches a wrench. As I have told students for years, you cannot leave a shop under about two thousand dollars, and the data backs it up. A used truck financed at the 2021 peak is often worth less than what is owed on it — values fell below sixty thousand dollars by late 2024 — and maintenance costs nearly double between years six and seven and climb twenty-five to thirty percent every year after.

Then there is towing, which in a crisis becomes predation. ATRI found the average non-predatory heavy tow invoice was about $8,900 — and the average predatory one was over $18,000. Of tows billed above thirty thousand dollars, two-thirds were

predatory. The research documented a single towing bill of two hundred and two thousand dollars for a tractor-trailer pulled from a ditch. And while the truck sits, unplanned downtime costs four hundred and forty-eight to seven hundred and sixty dollars a day against average revenue of roughly six hundred and thirty-seven dollars a day. A parked truck does not stop costing money. It costs money faster.

I have watched this end companies in real time. I know operators who had never physically seen their own trucks — who ran them entirely through drivers they never met. One found that all seven of his trucks needed fifteen to twenty thousand dollars in repairs each, well over a hundred thousand dollars in total, because the drivers, in his words, threw them to the ground and did not care. He closed at a loss of about four hundred thousand dollars. When I was quoted thirty-five thousand dollars for a blown cylinder on a 2021 truck, I understood in my bones what every one of these figures means: logistics without knowledge costs thousands, tens of thousands, hundreds of thousands. Mistakes cost a fortune.

THE CIRCULAR TRUTH

- Maintenance is the clearest loop in trucking: skip the small planned cost today and you buy the enormous unplanned one tomorrow, plus the downtime, plus the CSA hit. The circle always closes. The only question is whether you close it on purpose.

CHAPTER

6
The Chronic Disease

The insurance spiral you cannot outrun

Maintenance is the blade. Insurance is the chronic disease underneath — the condition that weakens every small carrier whether or not they ever have an accident. And this is the part that operators find hardest to accept, because it is the part that punishes them for other people's behavior.

Commercial truck liability premiums rose 18.6 percent from 2021 to 2024, reaching an average of 10.2 cents per mile — a record — after a 12.5 percent spike in 2023 alone. Over the past decade, per-mile insurance premiums climbed roughly fifty percent. A small fleet now pays more than three times as much per mile for insurance as a large corporate fleet. And here is the fact that proves this is not about safety: during the same period, heavy-truck crash rates actually fell 2.6 percent. Carriers are being charged more while driving more safely.

The premiums are not paying for your risk. They are paying for the courtroom. Verdicts over one million dollars rose 235 percent between the periods of 2005–2011 and 2012–2019. The median "nuclear" verdict — over ten million dollars — reached 51 million by 2024, up from 21 million in 2020. "Thermonuclear" verdicts over a hundred million dollars surged 81 percent in 2024 alone, to forty-nine cases. This is fueled by what the industry calls social inflation and by an explosion in third-party litigation

financing, which grew 745 percent between 2015 and 2019 — outside investors funding lawsuits against carriers as an asset class. Commercial auto liability has now been unprofitable for insurers fourteen years in a row, so they raise rates on everyone, safe and unsafe alike.

And the federal government has left the small carrier exposed at both ends. The minimum liability floor is seven hundred and fifty thousand dollars — a number set in 1985 and never raised in forty years. Adjusted for inflation it would be over two million; against medical inflation, closer to three point seven. Against a fifty-one-million-dollar median verdict, that minimum is not protection. It is a starting point for a conversation that ends in the loss of the operator's home and personal assets. You can run a perfect safety record and still watch your rates climb, because you are being made to subsidize a system that treats your truck as a target.

THE CIRCULAR TRUTH

- Insurance is a loop the small carrier is forced into and then blamed for: nuclear verdicts raise everyone's premiums, high premiums force cheaper freight, cheaper freight forces harder driving, harder driving feeds the next verdict. Only knowledge — safety systems, clean CSA, the right coverage — lets you step out of that spin.

CHAPTER

7 The Acute Infection

Fraud, double-brokering, and the chameleons

On top of a system that extracts from you legally sits a criminal ecosystem that steals from you outright — and the small carrier, with no fraud department and no cushion, is the perfect victim.

Cargo theft losses surged sixty percent to about 725 million dollars in 2025, across 2,646 confirmed thefts, with the average value per theft rising thirty-six percent to nearly 274,000 dollars. Hold that number against the average owner-operator's net income of roughly thirty-seven thousand dollars: a single theft can be more than seven years of a driver's take-home pay. And the theft has gone digital. Nearly a third of thefts now involve no physical force at all — they are cyber, identity, and fraud schemes. Strategic theft, where criminals pose as legitimate carriers to be handed the freight, rose an almost unbelievable 1,475 percent from 2022 to 2024, and now makes up around forty percent of all incidents.

The most common scheme is double-brokering — a fraudster takes a load as a broker, re-brokers it to a real carrier, collects the shipper's money, and vanishes without paying the carrier who actually hauled it. The Transportation Intermediaries Association calls it the most-reported freight fraud in the industry. One legal analysis estimated double-brokering losses around four billion dollars and total bad-broker losses above ten

billion between 2022 and 2025. In 2024, a single load board reported over 455 million dollars in theft, fraud, and impersonation losses, and one identity-protection service blocked more than nine hundred thousand fraudulent inbound emails in a single year.

The tools to fight this exist — carrier and broker vetting services, identity verification, phone confirmation before tendering a load. But the knowledge to deploy them, layered and correctly, is exactly what the newcomer lacks. That is the pattern you should be noticing by now: the weapon against fraud is knowledge, and knowledge is the one thing the three-hundred-dollar gate never required.

THE CIRCULAR TRUTH

- Fraud finds the operator who never learned to verify. The defense is not luck; it is a repeatable loop — vet, verify, confirm, then tender — run the same way every single time.

CHAPTER

8
The Body Breaks

Reading the collapse from the cab

We keep the financial and the human in separate chapters, and that is the first lie to correct. A crash is a person's death, a driver's ruin, and a carrier's end, all at once. The human toll is not a separate story from the financial one. It is the same story, read from the cab.

The linear model treats the human being as a disposable input — labor to extract until the operator physically or legally breaks. The data on driver health is a portrait of that extraction. Roughly 69 percent of long-haul drivers are obese, and 17 percent morbidly so, a condition linked to substantially higher crash risk and to sleep apnea, which doubles accident risk. Drivers suffer depression at about twice the rate of the general working population; one study of male drivers found 26.9 percent reporting depression, 27.9 percent loneliness, and 14.5 percent anxiety. Severe depression more than doubles crash risk. The Drug and Alcohol Clearinghouse recorded hundreds of thousands of violations, with roughly two hundred thousand CDL holders prohibited from driving as of early 2026.

And the industry churns these human beings like a turnstile. Large truckload driver turnover has run 90 to 95 percent annually for decades — what one association calls an almost constant game of musical chairs. Thirty-seven percent of drivers

admit exceeding their legal hours sometimes or often; nearly three-quarters say delivery schedules are unrealistically tight. This is the catch-up mentality: rates too low to survive honestly, so the driver runs too hard, sleeps too little, eats worse, and drifts toward the violation that ends it all.

For the small carrier, that violation is not just a human tragedy. It is a mathematical catastrophe. CSA safety scores are percentile-based, so a small fleet has almost no cushion — one reckless driver can breach the intervention threshold in a matter of weeks. And the courtroom is waiting: ATRI's research found that improper hiring and onboarding raised expected jury awards by 272 percent, and substance-abuse issues by 341 percent. In one 2021 Florida case, a one-billion-dollar verdict turned on a driver operating without a valid CDL, over hours, on his phone — because the carrier never even bothered to check. A ten-dollar screening report would have flagged it. Ignorance signed that check.

THE CIRCULAR TRUTH

- The driver's body, the CSA score, and the courtroom are one loop. Treat the human as disposable and the loop ends in a verdict. Protect the human — vet, train, schedule sanely — and the same loop protects the company.

CHAPTER

9 Virtual Trucking

The disease, finally named

By now you have seen five different killers — cheap freight, catastrophic repairs, the insurance spiral, fraud, and the human break — and you may have noticed they all share a single root. I have a name for the way that root most often takes hold. I call it virtual trucking.

Virtual trucking is the absentee model: an entrepreneur who treats a trucking company like a spreadsheet he can run from a laptop. He spends a hundred to a hundred and fifty thousand dollars standing up a new entity, then scales fast by onboarding drivers he never meets — one driver knows another driver, and it is like a bad driver jumping from chair to chair, carrying his violations from company to company. The owner never physically inspects a truck or a driver. He does not know how to read a rate confirmation, calculate a cost per mile, vet a broker, or build a driver qualification file. He is not operating a trucking company. He is operating a fantasy of one, and the road collects the difference.

I have watched it happen at speed. A carrier grows from one truck to more than twenty in under seven months — and closes roughly six months later, destroyed by the CSA violations those unvetted drivers piled up. Owners who never laid eyes on the equipment they financed. Drivers who, feeling no ownership,

throw the trucks to the ground. And the reveal, the thing this whole book has been walking toward, is this: every killer in the previous chapters is downstream of that one failure. The repair catastrophe, the insurance non-renewal, the fraud loss, the negligent-hiring verdict — they are the mechanisms. The knowledge gap is the disease. The thesis behind this book has a name for it: the knowledge disease. Ignorance is the illness; the other four are how it kills.

THE CIRCULAR TRUTH

- Virtual trucking is a straight line drawn on a screen: authority, drivers, scale, cash out. It ignores the actual loop of the road, so the road closes the loop for it — violently.

CHAPTER

10
The Door Congress Left Open

How the system licenses ignorance

If the knowledge gap is the disease, you would expect the government to have built a knowledge gate. It was ordered to. Twice. And it never did.

Congress directed the creation of a proficiency standard for new carriers in the Motor Carrier Safety Improvement Act of 1999, and again in MAP-21 in 2012. FMCSA never built the exam. The last substantive movement on that rulemaking was an advance notice in 2009; a second one is not projected until 2026 — a seventeen-year regulatory stall. In its place stands the New Entrant Safety Audit, which sounds like a competency check and is not. It inspects paperwork — the driver files, the drug program, the hours-of-service records, the maintenance and insurance documents. It does not test business viability, rate math, cost per mile, or whether the carrier has enough capital to survive a single repair. It is a document inspection, not a road test. Thirty to forty percent of carriers fail it on the first try — and most who fail are not unsafe. They are disorganized.

Set the licensing requirements side by side and the absurdity is complete. To operate a fleet of Class 8 trucks: no exam, no experience, no capital test — three hundred dollars and a form. To cut hair: a thousand-plus supervised hours and a two-part

state board exam. We require more of a person who wants to give a haircut than of a person who wants to command eighty thousand pounds of steel through a school zone and stake a family's livelihood on it.

This is the part that should reach an official reading these pages. The 85-to-90-percent first-year mortality of small carriers is not a lamentable market inefficiency. It is the predictable, designed output of a system that licenses ignorance at the front door and then bills that ignorance for the consequences. We built a door anyone can walk through, put no knowledge behind it, and act surprised when most of them fall.

THE CIRCULAR TRUTH

- A gate that asks only for money selects for people with money, not people with knowledge. Then every downstream loop punishes the missing knowledge. Close the gate with education and every loop downstream loosens at once.

CHAPTER

11 The Extinction Trajectory

Where the line ends if we do nothing

Let me be careful here, because the honest version of this warning is more powerful than the exaggerated one. I will not tell you that every small trucking company will be gone by a fixed date. The truth is both more nuanced and, in its way, more damning.

Because the barrier to entry is so low, the small-carrier class keeps regenerating even as it keeps dying — a perpetual churn, a turnstile of hope and closure. So the honest forecast is not clean extinction on a timetable. It is staged deterioration and consolidation. In the near term, through the early 2030s, expect continued attrition, insurance pressure, and fraud. In the following years, independents survive only by adopting technology and disciplined operating systems. And in the long run, if nothing changes, freight capacity concentrates among a few large integrated carriers and platforms — not because they are better, but because they can absorb losses the small carrier cannot.

That endgame has a shape, and it is an oligopoly. When a small carrier liquidates, its freight does not vanish — it is absorbed by the mega-carriers. Push that far enough and a handful of corporate platforms dictate pricing with no competitive restraint. The consequences reach every American:

chronic supply-chain instability, geographic service deserts across rural America where no giant bothers to run, and permanent upward pressure on the price of everything that moves by truck — which is nearly everything. America has been blinded by big corporate companies cashing in on the death of the small trucking company, and eventually, that model crashes too, because a supply chain with no redundancy is a supply chain waiting to break.

So the warning is not that trucking ends. It is that the independent, competitive, resilient layer of trucking ends — quietly, company by company — and takes the country's freight resilience with it. That is the trajectory of the straight line. The rest of this book is about the circle that breaks it.

THE CIRCULAR TRUTH

- Consolidation is what a straight line looks like at the end: value flows one direction until it pools in a few hands. Only a circular system — one that keeps the small carrier alive and reinvesting — preserves the redundancy a nation's supply chain needs.

CHAPTER

12
Circular Logistics

Keeping the truck and the company alive

Everything until now has been the diagnosis. This is the cure, and it is the reason I could not let this book be only a warning. There is a way of operating that turns the extraction line into a survival loop. I call it circular logistics, and it is the discipline I have spent years building and teaching.

Here is the definition. Circular logistics is a systems-based doctrine that optimizes every operational decision for long-term survivability by creating reinforcing economic, operational, educational, and behavioral feedback loops — instead of chasing isolated short-term gains. The shift it asks of you is a single question. Stop asking, "How do we make more money on this load?" Start asking, "What decision today increases my probability of surviving five years from now?" That is circular economics, and it changes everything downstream.

Watch the same forces that formed the doom loop run in reverse when knowledge is added. Education leads to better pricing decisions. Better pricing produces higher margins. Higher margins fund better maintenance. Better maintenance means fewer breakdowns and lower insurance claims. Lower claims mean better CSA scores. Better scores earn better broker relationships and better freight. Better freight strengthens cash flow — which funds more education. Every step feeds the next.

The end of one process fuels the beginning of the next. The loop is regenerative instead of extractive, and its governing principle is the one I keep coming back to: keep the truck and the company alive, one action leading to another to another, in a circle.

And it is concrete, not a slogan. A circular carrier attacks empty miles, because deadhead — 16.7 percent of miles in 2024 — earns nothing while burning fuel, wages, and insurance; the drop-off becomes the next pickup, turning returns and reusable freight into revenue in a returns market worth some 890 billion dollars a year. A circular carrier extends the life of its assets through remanufactured components, which use roughly 85 percent less material and cost about 40 percent less than new — sidestepping the lethal debt of a peak-priced truck. A circular carrier moves from intuition to data — cloud dispatch, telematics, predictive maintenance — and joins cooperative networks with other owner-operators to reach the density that lets them serve big shippers directly and bypass the predatory broker. And it operates under a simple survival framework: know your cost per mile before you accept a single load; vet every driver, every time; fund a maintenance reserve of at least three months' cash; keep a compliance calendar; verify every broker's bond and payment before you haul; run a layered fraud protocol; and treat insurability as a strategy, not an afterthought. Circular logistics is not a slogan. It is the operational expression of the one thing the three-hundred-dollar gate never required — knowing.

THE CIRCULAR TRUTH

- The doom loop and the survival loop are the same wheel turning opposite directions. Ignorance spins it toward closure; knowledge spins it toward survival. You are always on the wheel. Circular logistics is choosing which way it turns.

CHAPTER

13
Education Is the Hub

Why this is a problem education can solve

Look at the failure model as a wheel of reinforcing loops, and one point sits at the center where every arrow passes through. It is not insurance, or fraud, or repair. It is knowledge. Remove that hub — inject education — and every loop loosens at the same time. That is why education is not one fix among many. It is the fix that touches all the others at once.

Consider what the operating authority never asked anyone to demonstrate: finance and cost-per-mile literacy; insurance management; freight economics and rate math; fraud prevention; procurement; systems management. Those six competencies are the difference between a carrier that survives and one that becomes a statistic — and not one of them is on the three-hundred-dollar form. And there is real evidence that closing that gap works. Mentorship roughly doubles small-business survival: the SCORE program reports 87 percent one-year survival with a mentor versus 75 percent without; franchise data shows five-year survival doubling with structured guidance. The honest caveat is that this evidence is economy-wide, not a trucking trial — but the direction is unmistakable, and it points at education as the highest-leverage intervention we have.

There is even a first competency, before all the others, that the industry forgets to teach: choosing the right freight to begin with. The lane you pick determines your economics. Dry box is the most available and the most competitive, and it pays the least. Refrigerated freight rides a strong, growing market but demands a newer, costlier trailer. Flatbed pays well and seasonally but needs a specific kind of driver. Fuel is always in demand but requires specialized equipment and a hazmat endorsement. As I have taught for years, this business is controlled by two factors — the driver, and the trailer, which decides your income. Everything starts with choosing well, on purpose, with knowledge.

This is why Freight University exists, and why I built it the way I did. The government will not gate the front door with knowledge, so someone has to reach the operator the government waves through — voluntarily, before the mistakes, while there is still a company to save. Not a course that hands you a certificate, but a way of thinking that keeps you alive: circular, survival-first, carrier-first. The absentee who most needs it is the least likely to seek it — which is exactly why the case for a real pre-authority education standard is so strong, and why, until it exists, education has to go find the operator itself.

THE CIRCULAR TRUTH

- Every killer in this book is a loop with knowledge missing from its center. Put knowledge at the center and every loop turns from a death spiral into a survival cycle. That is the whole cure, in one sentence.

CHAPTER

14
The Fight in Washington

The Heavy-Duty Repair Transparency & Fairness Act

A system that has incentivized exploitation will not correct itself out of conscience. You saw it in the chapter on the blade: the repair and towing sector extracts from the small carrier because it is profitable and because no one is watching. Voluntary ethics are no match for a razor-and-blades economy and a tow bill that can reach two hundred thousand dollars. So I did the thing an operator is not supposed to be able to do. I wrote a law.

Through Logistical Forwarding Solutions, I authored and proposed the Heavy-Duty Repair Transparency and Fairness Act — the HD-RTFA — and I have been working to move it in front of the people in Congress who can make it real. Its purpose is simple to state and long overdue: to protect America's trucking and logistics infrastructure by putting transparency, oversight, and basic ethical standards into heavy-duty repair pricing, parts sourcing, and towing. It exists because the evidence in this book demands a response bigger than any one carrier can mount alone.

The act attacks the extraction at every point it happens. It would create a federally administered, publicly accessible benchmark-pricing database for heavy-duty repairs and parts, adjusted by region, and require shops to disclose itemized estimates: labor hours, hourly rates, parts costs, sourcing origin,

and markups. It would put the FMCSA on an annual audit cycle to verify invoices and catch systemic overbilling, with warnings, fines, and loss of federal procurement eligibility for repeat offenders. In plain terms, it drags repair pricing out of the dark and into a standard every carrier can see.

It goes after the towing predation directly — the price gouging, the unauthorized tows, the effective kidnapping of a commercial vehicle held hostage for an inflated bill. It establishes a Commercial Repair Oversight Task Force inside the Department of Transportation with the power to conduct unannounced field audits, a towing rate-audit program that sets acceptable thresholds for hook fees, mileage, and storage, and explicit authority to investigate the collusion between tow operators and repair shops that holds a carrier's equipment hostage until they pay.

And it protects the people who see the abuse. The HD-RTFA would stand up a secure, encrypted FMCSA reporting portal for confidential, even anonymous, complaints — invoices, photos, testimony — with real federal protection from retaliation for the drivers, owner-operators, and shop employees who speak up. It would certify honest shops through a Verified Repair Network, reward ethical independents with tax credits, and publish a Repair Compliance Score modeled on the CSA safety scores carriers already know, so that fairness, for once, is measured and visible. Each year it would deliver a data-driven, AI-analyzed State of Repair Fairness report to Congress, turning what is now anecdote into evidence lawmakers cannot ignore.

I did not write it as a repair policy. I wrote it as a national safeguard for the logistics backbone of the United States, because commercial repair fraud is not abstract. It is a direct driver of inflation, job loss, and the closure of small fleets, and every month we wait, more truckers are sidelined and more of

that cost lands on American households. This is what trucking-first looks like when it reaches Washington.

THE CIRCULAR TRUTH

- Transparency is how you close a loop that extraction keeps open. You cannot optimize a survival cycle when the repair and tow bill is a black box.
- The HD-RTFA forces the box open — so the carrier's loop can finally turn in their favor instead of the shop's.

Epilogue — Full Circle

I opened this book with a wire transfer and a death sentence, and I want to close it with a choice, because that is what all of this finally comes down to. The system as it stands is a straight line that runs from a three-hundred-dollar authority to a closed company, and along that line stands a row of people and institutions extracting value from the small carrier until nothing is left. That is not weather. It is a design. And anything that was designed can be redesigned.

The redesign is a circle. It keeps the truck and the company alive by making every decision feed the next one — education into pricing, pricing into margin, margin into maintenance, maintenance into safety, safety into better freight, better freight into the education that starts it again. It is the only shape that preserves what America cannot afford to lose: a competitive, resilient, independent trucking industry made of hundreds of thousands of small businesses instead of a handful of giants.

To the operator reading this: you do not have to be a statistic. Learn the number that saves you before you take the next load. Build the loop on purpose. To the official, the researcher, the person who can move a policy or fund a study: the evidence is here, it is documented, and it is damning — a nation that requires more of a barber than of a trucking company has made a choice, and it is the wrong one. This does not have to end the way the numbers predict.

I have spent more than two decades among these carriers, and I built this circular system because I refuse to watch the backbone of American freight disappear one closure at a time. We are trucking first. We keep the truck alive. And the whole

thing turns on a single question I have been asking operators since long before I had the words for the theory behind it.

Are you willing to be full circle?

THE WARNING — AND THE WAY OUT

To cut hair, America requires a thousand hours and an exam. To command a fleet of eighty-thousand-pound trucks, it requires only a wire transfer. This is what that costs us.

FU

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